

HSIC SOLUTION

Silent Attrition & Share-of-Wallet Recovery

Turning payment migration into targeted customer action

The retailer is growing. HSIC's share of that growth is shrinking.

MetroMart continues to grow, but HSIC is capturing a smaller portion of that spending. The data points to a payment-behaviour problem rather than a simple loss of customers.

FY26 METROMART SALES

₹435.69M

+15.37% YoY Retail Sales Growth

HSIC CARD SPEND YoY

-19.55%

Contracted to ₹68.92M (from ₹85.67M)

FY26 HSIC SHARE OF WALLET

15.82%

Down from 22.69% in FY25

HSIC SoW CHANGE

-6.87 pp

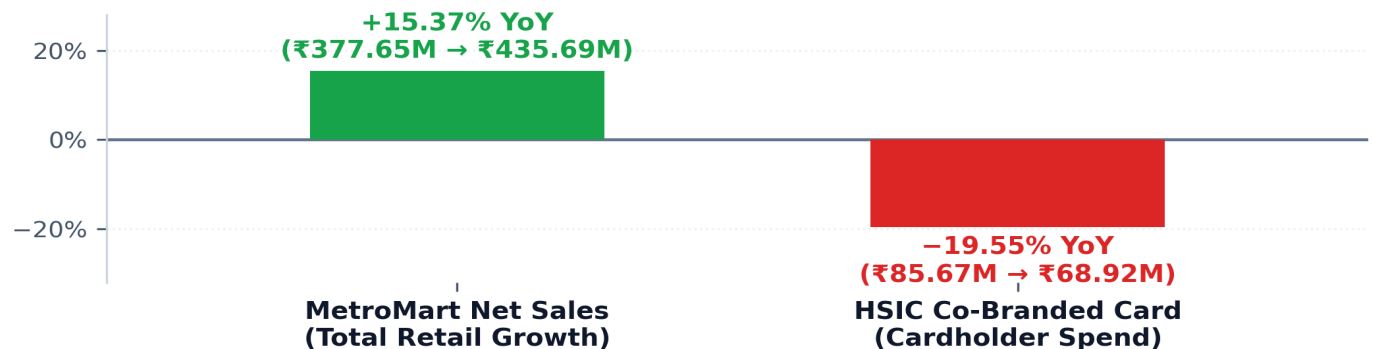
Net Portfolio Share Loss

SILENT ATTRITION CUSTOMERS

3,784

8.41% Active Cardholders

SPENDING DIVERGENCE: Retail Expansion vs. Co-Brand Card Contraction



KEY FINDING

Customers are still shopping at MetroMart. An increasing portion of their checkout spend is moving away from HSIC. Because retail spending is actively growing, this is not an account churn problem — it is a tender displacement problem.

THE END-TO-END ANALYTICAL RECOVERY JOURNEY:

1. DETECT

Falling SoW



2. DIAGNOSE

Where did spend move?



3. SEGMENT

Who behaves similarly?



4. RECOMMEND

What should we offer?



5. RECOVER

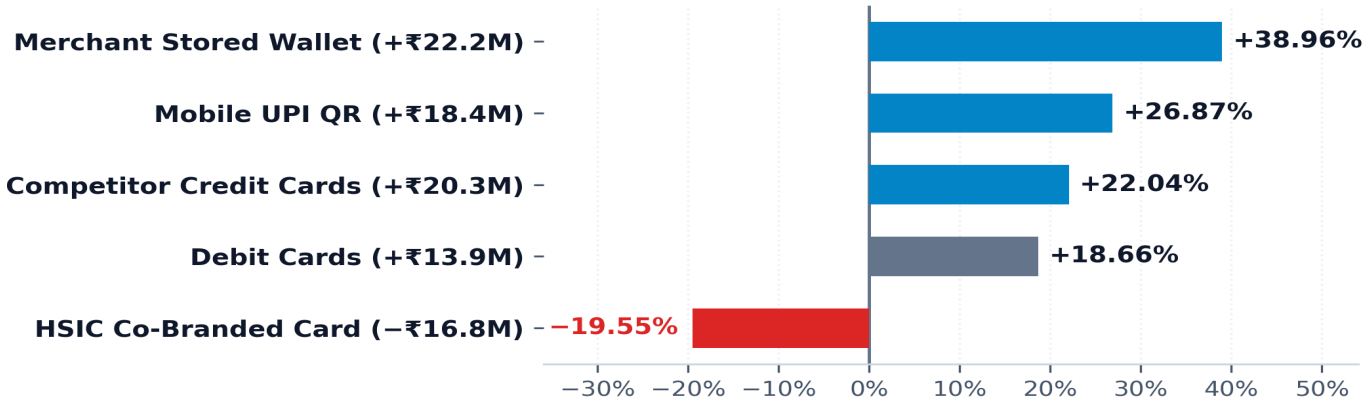
Did HSIC regain share?

The solution turns a portfolio-level warning into a customer-level action. By isolating exactly where cardholder spend leaks across checkout registers, Synchrony can identify which cardholders are silently diverting spend and deliver targeted commercial interventions before payment diversion hardens into permanent brand churn.

Where did the lost HSIC spend go?

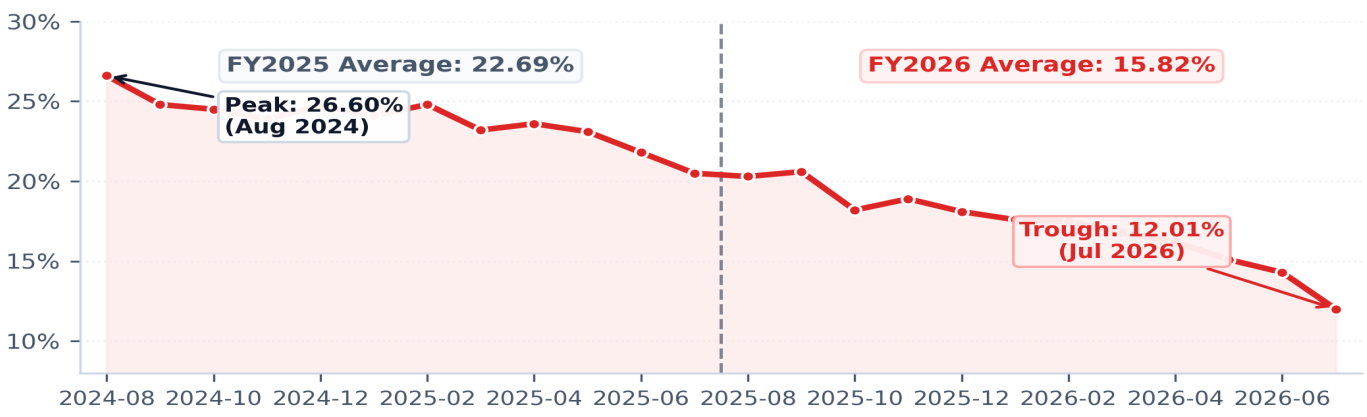
HSIC's decline is happening while MetroMart itself is growing. Looking at payment tender makes the shift visible.

PAYMENT TENDER MIGRATION: YoY Spend Shift Across Checkout Methods



- 1. Convenience Pull**
Stored wallet usage is increasing strongly (+38.96%, +₹22.2M), suggesting customers are moving everyday checkout behaviour toward convenience.
- 2. Everyday UPI Scanning**
UPI is gaining share (+26.87%, +₹18.4M), particularly relevant for frequent and smaller purchases where plastic card checkout feels slower.
- 3. Big-Ticket Financing**
Competitor credit cards are gaining share (+22.04%, +₹20.3M), especially important in categories such as Electronics and Appliances with instant EMI.

24-MONTH PORTFOLIO TRAJECTORY: Share of Wallet Slide from Peak to Trough



STRUCTURAL CONCERN

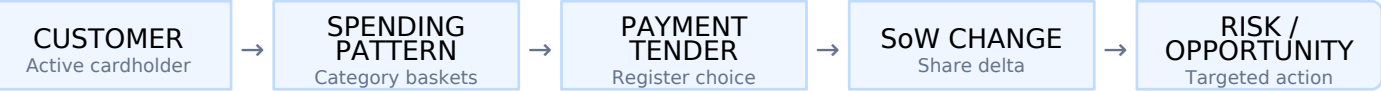
The concern is not simply fewer transactions. It is declining HSIC capture of transactions that are still happening. From a peak of 26.60% (Aug 2024), HSIC Share of Wallet eroded steadily to 12.01% (Jul 2026). Traditional churn models miss this entirely because cardholders remain active in MetroMart's loyalty database.

Who is actually at risk?

Silent attrition becomes useful when we can identify the customers behind the portfolio-level decline.

HIGH RISK 1,245 Severe Attrition SoW drop > 40.0 pp Immediate tender intervention	WATCHLIST 3,210 Emerging Risk Tender switching (10-40 pp) Active leakage in key aisles	HEALTHY 40,000 Stable & Loyal Consistently high card share Focus on loyalty retention
--	---	--

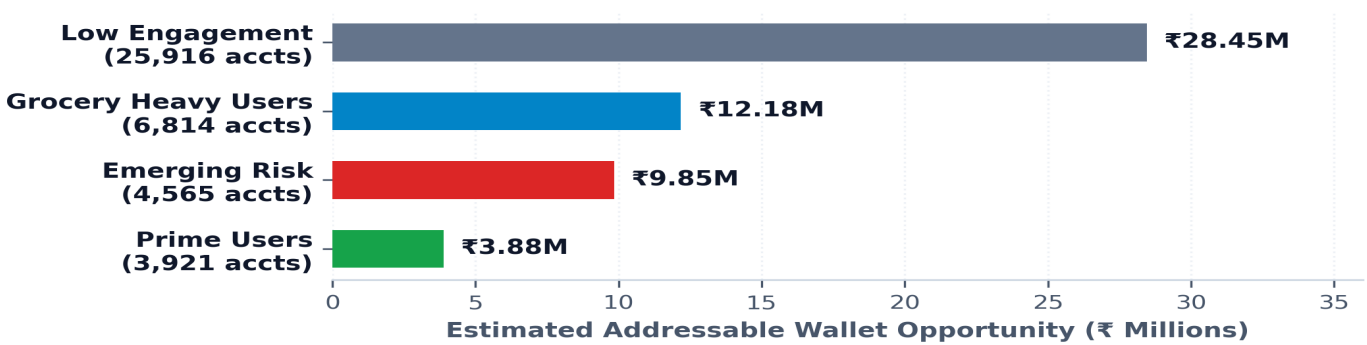
HOW THE BEHAVIOURAL SIGNAL TRANSLATES INTO INTERVENTION:



CUSTOMER SEGMENT RECOVERY PLAYBOOK:

EMERGING RISK (4,565 customers) Current SoW: 9.47% Expected Recovery: +3.2% SoW Recommended Action: 10% Electronics Cashback (+ 0% POS EMI)	GROCERY HEAVY USERS (6,814 customers) Current SoW: 12.40% Expected Recovery: +4.8% SoW Recommended Action: Segment Campaign: Extra 5% Grocery Cashback
PRIME USERS (3,921 customers) Current SoW: 48.89% Expected Recovery: +5.5% SoW Recommended Action: Double Reward Week (2X Points + Free Delivery)	LOW ENGAGEMENT (25,916 customers) Current SoW: 11.99% Expected Recovery: +2.1% SoW Recommended Action: ₹500 Welcome Back Bonus Voucher

ADDRESSABLE WALLET OPPORTUNITY BY SEGMENT: Total Pool = ₹54.36M



BUSINESS VALUE OF SEGMENTATION

Segmentation gives us a practical way to avoid blanket campaigns. Different behaviours require different interventions. A customer losing electronics spend to a competitor credit card requires point-of-sale zero-cost EMI financing, whereas a grocery-heavy household migrating to UPI needs contactless everyday card rewards.

* Behavioural segmentation: K-Means, K=5 | Silhouette ≈ 0.393 | Expected recovery numbers represent analytical modelled segment expectations, not guaranteed revenue.

From "Who is at risk?" to "What should we do?"

Next Best Offer turns a customer's observed behaviour into a specific commercial action. Instead of blanket promotions, explainable customer-level rules directly address the root-cause reason for tender diversion.

NEXT BEST OFFER (NBO) DECISION ENGINE: Customer-Level Rules

OBSERVED BEHAVIOUR	DIAGNOSIS	NEXT BEST OFFER (NBO RULE)
Electronics spend shifted to rival credit card	Competitor-card migration in big-ticket items	10% Electronics Cashback + 0% Instant POS EMI
Frequent grocery shopper + SoW < 40%	Everyday supermarket basket moving to UPI / debit	Customer-level NBO: 3% Grocery Cashback (60 days)
MetroMart Stored Wallet dominant tender	Checkout shifting to stored wallet for 1-tap discounts	2.5% card-funded auto-reload bonus on wallet
UPI QR migration at physical POS registers	Card usage displaced by phone scanning friction	Virtual RuPay Card on UPI + 1.5% scan cashback
100% HSIC card loyalty + Non-Prime member	Retention / loyalty opportunity (Zero churn risk)	Complimentary 1-Year Prime Upgrade (VIP Reward)

TWO-TIER OFFER ARCHITECTURE

Customer-level NBO rules trigger automated micro-incentives (e.g. 3% grocery cashback for 60 days) to individual accounts to protect operating margins. In contrast, portfolio-wide marketing pushes represent broader promotional campaigns (e.g. 5% grocery cashback across the entire 6,814 cohort).

CUSTOMER 360 — WHAT THIS LOOKS LIKE IN PRACTICE:

ACCOUNT	STATUS & TREND	DIAGNOSED ROOT CAUSE	TRIGGERED NEXT BEST OFFER
#25790	Prime SoW -100 pp	Wallet migration (Shifted ₹36.9k to MetroMart Wallet)	2.5% Auto-Reload Bonus on Card Top-Up
#33822	Non-Prime SoW -35.2 pp	Grocery migration (Supermarket spend shifting to UPI)	Customer-level NBO: 3% Grocery Cashback
#24664	Prime Electronics attrition	Competitor card (Appliance/electronics EMI diversion)	10% Cashback + 0% Instant POS EMI
#58218	Non-Prime SoW -42.1 pp	UPI migration (Physical register card swipe friction)	Virtual RuPay Card on UPI + 1.5% cashback
#25555	Non-Prime SoW +84.4 pp Lift	100% HSIC card loyalty (Exemplary usage)	Complimentary 1-Yr Prime Upgrade (VIP Retention)

HUMAN ANALYTICAL TAKEAWAY

The important part is not just identifying a risky customer. It is being able to explain why — and what action follows. Note that account #25555 is not a risk customer; it is an exemplary loyalty success case (+84.4 pp SoW) that our system recognizes and rewards with a VIP Prime upgrade rather than issuing a false churn alert.

The opportunity is not lost customers. It is lost payment share.

Because these customers are still shopping at MetroMart, the recovery opportunity is to redirect a portion of existing spend back to HSIC.

ESTIMATED WALLET OPPORTUNITY (HISTORICAL BASELINE SHARE GAP)

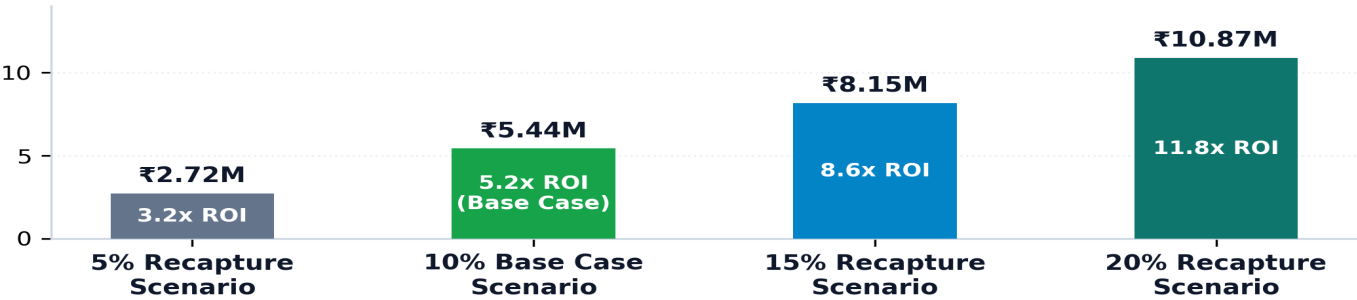
₹54.36M

Annualized spending gap across the 3,784 Silent Attrition cardholders if restored to historical tender baseline.

ILLUSTRATIVE RECOVERY SCENARIOS: Modelled Financial Impact Across 3,784 Accounts

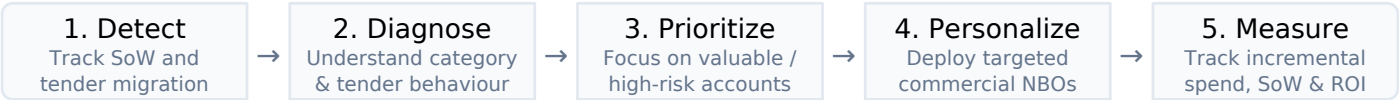
RECOVERY SCENARIO*	GROSS CARD SPEND RECAPTURED	ESTIMATED CAMPAIGN BUDGET	NET FINANCIAL LIFT	PROJECTED ROI
5% Recapture Scenario	₹2.72M	₹500,000	₹2.22M	3.2x Net ROI
10% Recapture Scenario (Base Case)	₹5.44M	₹850,000	₹4.59M	5.2x Net ROI
15% Recapture Scenario	₹8.15M	₹1,150,000	₹7.00M	8.6x Net ROI
20% Recapture Scenario	₹10.87M	₹1,450,000	₹9.42M	11.8x Net ROI

Gross Spend Recaptured (₹ Millions)



* Note: These are illustrative recovery scenarios, not guaranteed revenue or speculative forecasts. Actual recovery should be validated through controlled campaigns.

HOW WE WOULD TAKE THIS TO PRODUCTION:



HOW WE WOULD VALIDATE THIS IN PRODUCTION

Run controlled A/B test experiments comparing targeted offers against a randomized control group. Measure incremental HSIC card spend, Share of Wallet recovery trajectory, offer redemption rate, campaign cost, and net return on investment before enterprise deployment.

Instead of waiting for visible churn, Synchrony can intervene while the customer is still active at the retailer — when there is still wallet share to recover.